AI GOVERNANCE

From Documentation to Control System

- ✕ Most AI governance frameworks are documentation – not control systems.
- ✕ Governance without power is a filing cabinet. It does not stop bad decisions.
- → This briefing shows what a control system looks like – and what it costs to not have one.

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The problem – why AI governance fails in practice

AI governance fails not because organisations lack policies – but because policies cannot stop decisions.

The failure pattern

1. A team wants to deploy AI. Governance review says 'yes' or 'not yet'.
2. No one has authority to say 'no and here is the consequence'.
3. The team deploys anyway. Governance is notified after go-live.
4. A problem occurs. The governance document is produced as evidence. Nobody is accountable.

Diagnosis: governance without power = documentation theatre

Three root causes

No economic link

Governance is detached from P&L. No one calculates the cost of a bad AI decision before it is made. The CFO is shown the ROI of implementing AI – never the cost of governing it badly.

No clear power structure

Who can stop an AI deployment? If the answer takes more than 10 seconds, the answer is: nobody. Consensus-based governance without veto rights is advisory, not control.

No lineage from principles to decisions

Policies exist. Checklists exist. But individual decisions cannot be traced back to a principle. 'We decided this because compliance said so' is not governance. It is risk transfer.

The solution – ADR lineage as a control system

THE SYSTEM

Every operational AI requirement must be traceable to a principle. If it cannot be explained with 'because we decided this principle', it should not exist.

LAYER 1 – PRINCIPLE ADRs (11)

Defines how we build AI. Each principle is a binding decision with an explicit owner and review cadence.

- P1 Human control is required for any AI that affects an individual's rights or employment
- P2 All AI models must have a documented data lineage and bias validation record
- P3 No AI system enters production without a completed audit log configuration

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LAYER 2 – DERIVED ADRs (13)

Translates principles into operational requirements. Each derived ADR references its parent principle.

- D1 ← P1: Sagsbehandler must have access to model input data – not just recommendation output
- D2 ← P2: Training data period must be < 24 months from deployment date. Re-validation triggers defined.
- D3 ← P3: Audit log must include: AI recommendation, human decision, timestamp, user ID, confidence interval

THE LINEAGE TEST: Can this operational requirement be explained as 'because we decided Principle X'? If not → it should not exist, or a new principle must be created and approved.

Power structure – who can actually stop an AI project

POWER & CONTROL

Governance without veto rights is advisory. This slide defines who has power – not just responsibility.

AI Principle Owner (per domain)

VETO

CAN:

Stop a deployment if it violates a Principle ADR. Cannot be overridden without board notation.

CANNOT:

Approve exceptions unilaterally. All exceptions require advice process.

Decision time: < 48 hours

AI Governance Board (quarterly + ad hoc)

APPROVE / ESCALATE

CAN:

Create new Principle ADRs. Approve exceptions to existing principles. Retire outdated ADRs.

CANNOT:

Bypass the lineage requirement. Every new requirement must trace to a principle.

Decision time: < 10 days

Programme Lead (per AI initiative)

PROPOSE

CAN:

Initiate new Derived ADRs. Request advice process for ambiguous cases. Flag lineage gaps.

CANNOT:

Approve Principle ADRs. Override an AI Principle Owner veto.

Decision time: < 5 days

CEO / CFO (executive)

OVERRIDE (rare)

CAN:

Override any governance decision with documented business justification and board notification.

CANNOT:

Remove the lineage requirement. Override triggers mandatory post-deployment audit.

Decision time: Immediate

Failure modes – and what they cost

FAILURE ECONOMICS

Governance failures have a price. Quantifying them is not pessimism – it is the CFO argument for investing in control.

F1 – Lineage breaks – requirement exists without principle

Trigger:
A team adds a governance requirement ('always get legal sign-off') without tracing it to a Principle ADR.

Cost:
Estimated 3–6 month time-to-market delay per AI initiative. At €500K pilot cost, that is €125–250K of sunk capital per delay.

Fix:
Quarterly lineage audit. Any requirement without a parent ADR is suspended until principle is approved or requirement removed.

F2 – Governance capture – business overrides without process

Trigger:
A senior leader approves a deployment that violates a Principle ADR without triggering the advice process.

Cost:
One EU AI Act non-compliance event for high-risk AI: up to €15M or 3% of global revenue. Reputational cost is separate.

Fix:
CEO/CFO override must be documented and trigger mandatory post-deployment audit. One-time exception is logged as ADR amendment proposal.

F3 – Advice process atrophy – decisions made without consultation

Trigger:
The advice process becomes a rubber stamp. Consultation happens after the decision, not before.

Cost:
Shadow governance: teams develop informal workarounds. Inconsistency across AI systems. Audit exposure increases.

Fix:
Advice process has a mandatory decision window (5–10 days). After the window: automatic escalation to Governance Board, not automatic approval.

This is not a document.

It is a control system for AI decisions.

The question is not:

“Should we have AI governance?”

The question is:

“Will we govern AI – or be governed by it?”

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1. Approve the Principle ADR set and assign owners
2. Establish the AI Governance Board with explicit veto rights
3. Set the acceptable error rate as a board-level policy
4. Commission the first lineage audit within 60 days